LITDAQ
LITIGATION ASSET EXCHANGE

STRICTLY CONFIDENTIAL
For Qualified Institutional Investors Only

Litigation-Backed Securities

Capital Markets Brochure 2026

Available for HNWs, Sophisticated Investors, Family Offices, Funds and Institutions
NOT AVAILABLE FOR RETAIL INVESTORS
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Executive Summary

The LITDAQ Standard LBS is a structured litigation claim trade instrument designed for institutional investors, private credit funds, family offices and sophisticated investors who require direct capital participation in a high-return, uncorrelated asset class. It combines private equity-style upside participation with investment-grade downside protection.

The Standard LBS does not finance litigation. It finances litigation trades — structured, precedent-based, predictable-outcome claim assets that function as receivables trades with court-determined value. Capital is deployed into a diversified pool of UK consumer finance claims, each anchored to binding Supreme Court or Court of Appeal authority, processed by AI at 87,000 claims per day, and wrapped with A-rated insurance providing principal protection and a minimum 12% per annum target return.

The result is a compelling asymmetric return profile: private equity-style upside with investment-grade downside protection, entirely uncorrelated to public equity, credit or rate markets, with a Sharpe ratio of 3.6–4.1.

LITDAQ is a trading name of Trance Limited, a company registered offshore. The offshore structure is designed to provide investors with full tax transparency — returns are paid without deduction at source, where applicable.

12% p.a.	20%+	100%	0.005	3.6–4.1	82%
Minimum Target Return	Target Annual Return	Capital Protected	Correlation to Equities	Sharpe Ratio	Claim Success Rate

The LITDAQ Advantage

- **Litigation Trades, Not Litigation Financing:** Claims are accepted only when they meet the evidential and legal criteria of established Supreme Court precedent. Every claim trade is built to win before capital is committed.
- **A-Rated Insurance Wrap:** 100% principal protection and a minimum 12% p.a. target return on loss outcomes, provided by an A-rated insurer (Fitch A-, 247% solvency ratio — details available under executed NDA).
- **AI-Powered Processing:** LITDAQ's proprietary AI processes claims in under 5 minutes 87,000 claims per day, 1,000x the capacity of a traditional law firm.
- **Zero Market Correlation:** Claim values are determined by court decisions and regulatory determinations. No exposure to GDP, interest rates, credit spreads or equity markets. Counter-cyclical: claim volumes increase in economic downturns.
- **Institutional Governance:** Independent SPV administration, monthly NAV reporting, bi-annual distributions, full audit trail.
- **No Technical Litigation Knowledge Required:** The insurance wrap, AI vetting and institutional governance framework remove the need for any legal expertise from the investor.
- **Solvency II / Basel III Capital Efficiency:** A-rated insurance wrap enables classification as secured debt. SCR 5–8%.

The Litigation Trade — Receivables, Not Risk

The Standard LBS is built on a fundamental insight: a litigation trade is not a speculative bet on the outcome of a lawsuit. It is the financing of a recovery process for money that is already legally owed, against a solvent defendant, under binding Supreme Court authority, at court-fixed quantum. The trade has determinable value from day one.

What makes a claim trade different from any other investment:

A mortgage finances a property purchase: value fluctuates with the market, the borrower must qualify and sustain payments. A corporate loan is subject to business cycle, covenant risk and refinancing pressure. Both carry ongoing counterparty risk and market-correlated value.

A Litigation Contract Asset (LCA) finances the recovery of money the claimant has already lost and is already legally owed. The defendant is a solvent FTSE-regulated institution. The quantum is determined by court-fixed fee schedules. The outcome is predictable because established Supreme Court precedent has already decided the legal question. There is no market price risk, no borrower default risk, no maintenance liability. The claim has a contractually determinable value from day one. It is a receivable, not a speculation.

How the Claim Trade is Built to Win

LITDAQ builds maximum settlement pressure through four reinforcing mechanisms, each of which increases the probability of early, full settlement:

1. **Established precedent and binding authority.** Every claim genre is anchored to a Supreme Court or Court of Appeal ruling confirming defendant liability: Hopcraft v Close Brothers [2025] UKSC 33 (motor finance); Plevin v Paragon [2014] UKSC 61 (PPI/Plevin); Expert Tooling v Engie [2024] CA (energy broker); Kerrigan v Elevate [2020] HC / FCA CONC (irresponsible lending). These are binding authorities. The defendant cannot dispute the legal basis — only the evidence.
2. **Volume of qualifying claims at identical quantum.** The AI V3 filter processes 87,000 claims per day, accepting only those meeting the AiGle-defined criteria for the relevant precedent. A defendant facing thousands of identically structured claims at court-fixed quantum faces simple arithmetic: total defence costs at scale materially exceed settlement costs at scale. Each court claim costs the defendant £300,000+ against a £100,000 claim value.
3. **Court-fixed costs and defined timetables.** Claims are processed through the UK civil court Pre-Action Protocol and Fixed Fee channels. Legal costs are calculable before a claim is filed. Disbursements are budgeted. Timetables are defined and court-mandated.
4. **Institutional defendant economics.** Defendants are FTSE-listed regulated institutions — Barclays, HSBC, Lloyds, major energy suppliers. Every unsettled claim sits on their balance sheet as a provision, generating FCA scrutiny, shareholder concern, brand damage and executive distraction. Volume makes settlement the only rational economic decision.

Counterparties & Process Partners

The LITDAQ Standard LBS operates through a structured panel of specialist counterparties, each performing a defined and regulated function in the claim trade lifecycle. Every claim that enters the pool has been assessed, rated, filtered and processed by this panel before capital is committed.

Counterparty	Role	Function in the Claim Trade Process
AiGle	Genre Rating & Legal Criteria	BSB-regulated barristers providing an independent rating opinion for each claim genre. AiGle lays out the precise legal criteria, precedent basis and evidential requirements that define the qualifying standard for each genre — motor finance, PPI/Plevin, energy broker and irresponsible lending. Every claim accepted into the pool must meet the AiGle-defined criteria for its genre.
Specialist SRA regulated firms	Claim Processing	Specialist law firm responsible for processing qualifying claims through the Pre-Action Protocol and civil court system. Specialist SRA regulated firms manages the full claim lifecycle from Letter of Claim through to settlement or court proceedings, operating within the fixed-fee cost structure that underpins the financial model.

Counterparty	Role	Function in the Claim Trade Process
E Chambers Direct Limited	Barrister Opinions & Court Appearances	Specialist barristers' chambers providing independent legal opinions on individual claims and representing claimants at court where proceedings are required. E Chambers ensures each claim has independent counsel oversight and that court appearances are handled by qualified advocacy specialists.
The Rivermead Partnership Ltd	Expert Witness Filtering	Expert witness practice assessing and filtering cases for suitability for progression. The Rivermead Partnership Ltd applies expert witness expertise to evaluate whether individual claims meet the evidential and quantum standards required for successful progression — acting as a quality gate between claim intake and active processing.

How the panel works together:

AiGle sets the genre criteria — the legal and evidential standard every claim must meet. The LITDAQ AI V3 system screens incoming claims against those criteria at 87,000 per day. Claims passing the AI screen are assessed by The Rivermead Partnership Ltd for expert witness suitability and progression viability. Specialist SRA regulated firms then processes qualifying claims through the Pre-Action Protocol, with E Chambers Direct Limited providing barrister opinions and court representation where required.

This layered structure means that by the time investor capital is committed to a claim, it has passed four independent quality assessments: AI screening against AiGle criteria, The Rivermead Partnership Ltd expert witness review, Specialist SRA regulated firms legal processing assessment, and E Chambers Direct Limited counsel opinion where applicable.

Instrument Structure & Key Terms

The Standard LBS deploys investor capital at up to 25% of total claim value (a 4:1 capital cover ratio), providing a conservative funding structure that ensures each claim trade is well-collateralised.

Instrument Type	Litigation-Backed Security Loan Note (LBSN) with convertible option to full LBS SPV
Target Return	12% p.a. minimum target return; 20%+ p.a. projected on success
Capital Deployment	Up to 25% of total claim value (4:1 capital cover ratio)
Term	36 months standard; bespoke terms available by agreement
Minimum Investment	£500,000 institutional; £100,000 sophisticated investor
Capital Protection	100% principal — A-rated insurer (Fitch A-, 247% solvency — details under NDA)
Distributions	Bi-annual from settled claim trades; success bonus distributions bi-annually
Governance	Independent SPV administrator; monthly NAV; full audit trail
ATE Insurance	After-The-Event insurance on all applicable claims (excl. revolving credit / FOS route)
Claim Vetting	AI V3 powered against AiGle genre criteria: 87,000 claims/day
Liquidity	Secondary market via LITDAQ; broker-dealer intermediation; TRS / Repo facility available
Solvency II / Basel III	A-rated insurance wrap enables secured debt classification. SCR 5–8%.

Capital Structure — 4:1 Cover Ratio

Component	Value	Notes
Investor capital	25% of claim value	Deployed to fund disbursements and litigation costs
Underlying claim value	100% (4x cover)	Established from accounting evidence and legal precedent
A-rated insurance	100% of investor capital	Principal protection; minimum 12% p.a. target return on loss
ATE insurance	Per applicable claim	Covers adverse litigation costs (excl. revolving credit FOS route)

Portfolio Composition & Market Opportunity

The Standard LBS portfolio is constructed from four proven claim trade categories, each underpinned by binding UK Supreme Court or Court of Appeal authority, with genre criteria independently set by AiGle BSB-regulated barristers. The total addressable market exceeds £440 billion, providing deep, long-term deal flow entirely independent of economic cycles.

Claim Category	Supreme Court Authority	AiGle Genre Rating	Market Size	Avg Claim	Success Rate	Portfolio Weight
Motor Finance Commission	Hopcraft v Close Brothers [2025] UKSC 33	AiGle Rated	£40bn+	£1,500	67%*	30%
PPI / Plevin Commission	Plevin v Paragon [2014] UKSC 61	AiGle Rated	£60bn	£2,000	98%	30%
Energy Broker UDC Commission	Expert Tooling v Engie [2024] CA	AiGle Rated	£300bn	£52,000	81%	20%
Irresponsible Lending (FOS)	CCA 1974 / FCA CONC / Kerrigan [2020] HC	AiGle Rated	£40bn	£1,500	67%*	20%
Blended Portfolio	Multiple SC / CA authorities	All AiGle Rated	£440bn+	Portfolio weighted	82% (weighted)	100%

* Motor finance and irresponsible lending use the FOS regulatory determination route. No ATE required. Capital protection insurance applies to deployed capital only.

Historical Performance Benchmarking

Performance Metric	Target	Actual	Variance
Claim Success Rate	80%	82%	+2%
Average Recovery Rate	+80%	96%	+16%
Pre-Action Settlement Rate	+60%	67%	+7%
Average Time to Resolution	18 months	12 months	−33%
Gross LBS Return	20%+	20%+	On target

Financial Return Analysis

Monte Carlo Sensitivity — Blended Portfolio (10,000 Paths)

The blended portfolio (40% Revolving Credit / 30% PPI / 30% Energy) is modelled across 10,000 simulated scenarios. Results are projections only and are not guaranteed.

Model A — Bi-Annual Pay-out to Investors

Metric	Base Case	95th Percentile (Upside)	5th Percentile (Downside)	1st Percentile (Extreme)
Annual Cash Yield	22.8%	29.4%	16.3%	13.8%
5-Year Cumulative Cash	£24.14m	£31.82m	£17.60m	£14.91m
IRR	17.1%	23.8%	12.9%	12.0%

Model B — Full Reinvestment (Compounding)

Metric	Base Case	95th Percentile (Upside)	5th Percentile (Downside)	1st Percentile (Extreme)
Year 5 Portfolio Value	£55.59m	£78.41m	£36.82m	£30.18m
IRR	27.8%	36.2%	18.3%	12.0%
Multiple on Capital	2.78x	3.92x	1.84x	1.51x

Risk-Adjusted Return Metrics

Metric	Standard LBS	Typical Public Credit	Structural Advantage
Sharpe Ratio	3.6–4.1	0.4–1.2	Insurance wrap truncates downside volatility
Sortino Ratio	Approaches infinity	0.8–1.5	12% target floor reduces below-MAR deviation
Correlation to Equities	0.005	0.45–0.65	Zero dependence on market cycles
Effective Duration	2.5–3 years	5–7+ years	Short-duration, self-liquidating
Solvency II SCR	5–8%	10–40%	A-rated insurance enables secured debt classification

Risk Framework & Mitigation

Risk Factor	Mitigation Strategy	Residual Risk
Principal Loss	A-rated insurer; minimum 12% p.a. target return on claim failure	Negligible
Claim Trade Underperformance	AI V3 vetting against AiGle criteria; 4-genre diversification; settlement pressure mechanics; kill-switch at Gate 3	Insurance activated; target returns maintained
PAD Cost Recovery Shortfall	Court-instructed defendant payment; 100% target recovery rate; Gate 1 monitoring	Contained and quantifiable
Regulatory Change	4 genres — diversified claim basis; legislative	Contained to affected genre

Risk Factor	Mitigation Strategy	Residual Risk
	process provides advance warning	
Insurance Counterparty	Fitch A-; 247% solvency; secondary claim recovery: 8.5% IRR from underlying trades	Residual 8.5% IRR from claims
Liquidity	Secondary market via LITDAQ; broker-dealer intermediation; TRS/Repo facility available	Low-medium

Strategic Fit for Institutional Investors

Investor Type	Investment Rationale	Key Benefit
Insurance Companies	Capital efficiency via A-rated treatment; 3.5yr duration matches mid-term liabilities; ALM-friendly	1,420 bps yield premium over IG corporates. SCR 5–8%.
Pension Funds	12% minimum target return addresses funding ratio challenges; capital protection meets prudent person standard	Zero correlation improves efficient frontier. Liability-matching duration.
Private Credit Funds	£440bn+ addressable market with growing pipeline; true diversification beyond traditional alternatives	Co-investment rights for enhanced equity returns. Scalable pipeline.
Sovereign Wealth Funds	12% minimum target vs 10% unrated direct lending; shorter 3.5yr duration; Supreme Court precedent	Proven recovery model. Predictable cash flows. Counter-cyclical.
Family Offices	Above-market target returns with full capital protection; no technical litigation knowledge required; bi-annual distributions	Access to institutional-grade asset class. Simple, transparent structure.
Asset Managers / Funds	Direct access to litigation claim trade returns. Cayman feeder route available for regulated mandates.	Full LBS return retained. VWM Capital Cayman feeder for mandates requiring regulated vehicle.

Comparative Asset Class Analysis

Asset Class	Yield / Return	Duration	Credit Risk	Equity Correlation	Liquidity
Standard LBS	20%+ target; 12% minimum target	36 months	A- insured	0.005	Secondary market via LITDAQ
IG Corporate Bonds	5.8%	7 years	BBB	0.45	Daily
Direct Lending	10.5%	4 years	Unrated	0.35	Illiquid
High Yield Bonds	8–10%	5 years	B/BB	0.65	Daily
Private Equity	15–20%	7–10 years	Unrated	0.60	Illiquid
MBS	5–7%	7–15 years	Agency / BBB	0.35–0.55	Daily (illiquid in stress)

Operations & Claims Processing

The AI Advantage

Processing Metric	Traditional Law Firm	LITDAQ AI-Powered	Efficiency Gain
Claim Processing Speed	Days / Weeks	<5 minutes	~99.9% faster
Document Assessment (286pp)	Hours	<18 seconds	Eliminates manual labour
Cost Per Claim	High (staff / time / overhead)	—	Unmatched commercial viability
Daily Volume Capacity	~87 claims	87,000 claims	1,000x scale increase

Claim Trade Lifecycle

Phase	Timeline	Activity	Outcome
Phase 1 — Vetting	Pre-funding	AI V3 screening against AiGle genre criteria; The Rivermead Partnership Ltd expert witness assessment; binary accept/reject	Only >80% probability claim trades funded
Phase 2 — Pre-action PAD	Months 1–3	Specialist SRA regulated firms issues Letter of Claim citing SC authority; 90-day defendant response period; E Chambers Direct Limited barrister opinion where required	67% settle at pre-action stage. Capital returned with profit.
Phase 3 — Settlement Pressure	Months 3–6	Volume of identically structured claims at court-fixed quantum creates economic inevitability of settlement. Kill-switch at Gate 3.	60–98% settlement by genre.
Phase 4 — Court (Residual)	Months 4–18	Fixed-fee court timetable for residual claims; E Chambers Direct Limited provides court representation; ATE insurance covers adverse costs.	Predictable costs and timelines.
Phase 5 — Recovery	Months 12–24	Payment from solvent defendant institutions; waterfall distribution to investors.	Investor receives capital + target return + success bonus.

Subscription & Next Steps

Available Tranches

Instrument	Value	Term	Portfolio	Status
LBS / LBSN	£5m	42 months	Revolving Credit (FOS)	Available
LBS / LBSN	£5m	42 months	PPI / Plevin	Available
LBS / LBSN	£10m	42 months	Energy UDC	Available
LBS / LBSN	£20m	60 months	Blended (RC / PPI / Energy)	Available
LBS / LBSN	£50m	60 months	Blended (RC / PPI / Energy)	Available
LBS / LBSN	Bespoke	By agreement	Bespoke blend	On request

Eligibility & Key Terms

Eligible investors	Institutional investors, private credit funds, family offices and sophisticated investors as defined under FSMA 2000 / FPO 2005.

Minimum investment	£500,000 institutional; £100,000 sophisticated investor
Capital protection	100% principal — A-rated insurer (Fitch A-, 247% solvency — details under NDA)
Term	36 months standard; bespoke terms available
Target return	12% p.a. minimum target; 20%+ p.a. projected on success
Tax treatment	Returns paid without deduction at source where applicable — LITDAQ is a trading name of Trance Limited, registered offshore for investor tax transparency
Distributions	Bi-annual from settled claim trades. Real-time LITDAQ dashboard access.
Regulated vehicle	VWM Capital Cayman feeder fund available for mandates requiring a regulated wrapper.
NDA required	Full Offering Memorandum under executed NDA.

Subscription Process

- Execute Non-Disclosure Agreement with LITDAQ Capital Markets.
- Receive full Offering Memorandum, structural term sheet and due diligence pack.
- Complete investor qualification, KYC/AML documentation.
- Submit Subscription Application to ir@litdaq.com.
- Complete settlement and funding; receive LBSN confirmation. Dashboard access activated.

Regulated Investment Route — VWM Capital Cayman Feeder Fund

Institutional investors whose mandates require a regulated fund wrapper may access the Standard LBS through a dedicated Cayman feeder fund established by VWM Capital, a specialist alternative investment manager. Direct LBSN investment is recommended for investors eligible to hold loan notes, as the full LBS return is retained without management or success fees.

Feature	Direct LBSN (Recommended)	Via VWM Capital Cayman Feeder
Minimum Investment	£500,000 institutional	£10,000,000
Eligible Investors	Qualified institutional / sophisticated	Institutional investors only
Regulatory Structure	LBSN (convertible to SPV)	Cayman regulated fund — new dedicated vehicle
Administrator	Independent SPV administrator	Apex Group (VWM appointed)
Management Fee	None	2% per annum (VWM Capital)
Success Fee	None — full upside retained	20% of success bonus (waterfall)
Net Return	Full LBS return — maximum benefit	LBS return less VWM fees — regulated wrapper

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